

critical circumstance (he was chased by an ox). His answer was that he found it sometimes difficult to rid himself of his humanity. If Pyrrho cannot stop being human, I do not see why the rest of us should resemble the rational man who acts perfectly under uncertainty as propounded by economic theory. I discovered that much of the rationally obtained results using my computations of the various probabilities do not register deeply enough to impact my own conduct. In other words, I acted like the doctor in Chapter 11 who knew of the 2% probability of the disease, but somehow unwittingly treated the patient as if the ailment had a 95% probability of being there. My brain and my instinct were not acting in concert.

The details are as follows. As a rational trader (all traders boast so) I believe as I discussed before that there is a difference between noise and signal, and that noise needs to be ignored while a signal needs to be taken seriously. I use elementary (but robust) methods that allow me to calculate the expected noise and signal composition of any fluctuation in my trading performance. For example, after registering a profit of \$100,000 on a given strategy, I may assign a 2% probability to the hypothesis of the strategy being profitable and 98% probability to the hypothesis that the performance may be the result of mere noise. A gain of \$1,000,000, on the other hand, certifies that the strategy is a profitable one, with a 99% probability. A rational person would act accordingly in the selection of strategies, and set his emotions in accordance with his results. Yet I have experienced leaps of joy over results that I knew were mere noise, and bouts of unhappiness over results that did not carry the slightest degree of statistical significance. I cannot help it, but I am emotional and derive most of my energy from my emotions. So the solution does not reside in taming my heart.

Since my heart does not seem to agree with my brain, I need to take serious action to avoid making irrational trading decisions, namely, by denying myself access to my performance report unless it hits a predetermined threshold. This is no different from the divorce between my brain and my appetite when it comes to the consumption of chocolate. I generally deal with it by ascertaining that there are no chocolate boxes under my trading desk.

One of the most irritating conversations I've had is with people who lecture me on *how I should* behave. Most of us know pretty much *how*

we should behave. It is the execution that is the problem, not the absence of knowledge. I am tired of the moralizing slow-thinkers who pound me with platitudes like I should floss daily, eat my regular apple and visit the gym outside of the new-year resolution. In the markets the recommendation would be to ignore the noise component in the performance. We need tricks to get us there but before that we need to accept the fact that we are mere animals in need of lower forms of tricks, not lectures.

Finally, I consider myself lucky for not having a cigarette addiction. For the best way to understand how we could be rational in our perception of the risks and probabilities and, at the same time, be foolish while acting on them, would be to have a conversation with a cigarette smoker. For few cigarette smokers remain unaware of the fact that lung cancer strikes one in three of their population. If you remain unconvinced, take a look at the huddling smoking crowd outside the service entrance of the Memorial-Sloan Kettering Cancer Center in New York City's upper East side. You will see dozens of cancer nurses (and, perhaps, doctors) standing outside the entrance with a cigarette in hand as hopeless patients are wheeled in for their treatments.